

Northwind Home: when one customer problem belongs to three teams

Domain FDE Pre-Work Deep Track • Blue Data Consulting • Customer experience, supply chain and finance

The business

Northwind Home sells furniture and home goods online in the UK: 180 million pounds a year, 1.1 million orders. Most orders arrive safely. The ones that do not start a chain of work across three back-office teams, each with its own goals, rules and systems:

Team	Domain	What it decides	What it is measured on
Complaints desk (6 people)	Customer experience	What the customer is told, and when a case closes	Speed, satisfaction, repeat contact
Returns centre (9 people)	Supply chain (reverse logistics)	Where each returned item goes, and what is claimed back from vendors	Recovery value, stock accuracy, safety
Billing	Finance	Whether money goes back to the customer, and how much	Refund leakage, approval control

How the three domains connect

One failed delivery travels through all three. The customer sees one problem; the business sees three decisions, made by three teams, in an order nobody has written down:

Step	What happens	Why it matters to the business
1 Complaint (CXM)	The customer reports the fault and asks for a remedy	The customer's trust, and the risk of a formal complaint
2 Return (SCM)	The item comes back, is inspected and graded A to C	The grade decides what the item is still worth
3 Disposition (SCM)	Restock, refurbish, return to vendor, liquidate, recycle or quarantine	Recovery value, and whether unsafe stock reaches a shelf
4 Vendor claim (SCM)	A faulty item's cost is claimed back from the supplier, before a deadline	Money recovered, or lost if the deadline passes
5 Refund (Finance)	Money goes back to the customer, within approval limits	Leakage, and whether the same refund is paid twice

The case

Aisha Khan orders an electric kettle for 35 pounds. It arrives with a cracked base. She writes one message: *"My new kettle arrived with a cracked base. I want my money back."* She returns it. The inspector grades it C: damaged. Its supplier, Brewline, accepts claims for faulty stock for another five days. Three teams now each hold one piece of her problem, and none of them can see the others' piece.

Where it goes wrong today

- **The teams pull in different directions.** The complaints desk wants to refund at once to keep Aisha happy. Billing wants approval above 25 pounds. The returns centre wants the kettle back with the vendor before the claim window closes. Each goal is right; nobody balances them.
- **Hand-offs lose information.** The desk does not know the item is grade C or that a vendor claim is possible, so the 35 pounds is written off instead of recovered.
- **Safety depends on memory.** A recalled space heater was nearly put back on sale; a 1,400 pound laptop was nearly written off without a supervisor. The rules exist; nothing enforces them at the moment of decision.
- **The customer waits for the slowest team,** and may explain her problem three times.

Who is affected

Stakeholder	What they need
Aisha, the customer	One answer, quickly, that is true: what happens to her money and her kettle
Complaints team lead	Vulnerable customers and legal threats reach a person; nothing is promised that another team has not agreed
Returns supervisor	No recalled or damaged stock on sale; high-value items and vendor claims decided on time
Billing team lead	No refund above the order value, and nothing above the limit without approval
Head of operations	To know which team does what, and that the whole chain can be trusted at 400 cases a week

The business question

Who should decide each part of a customer's problem, how does one request reach every team that must act, and how do we know the chain can be trusted before it handles every case?